

**Draft publication design · exact-file review required**

Complete source text follows. The source's own status and limitations remain in force; this edition does not establish execution, filing or approval.

Commercial operations and contract economics

Status: implemented conditional planning histories. All customer decisions, approvals, incidents and future dates are public synthetic assumptions for 2027–2031. They are not operating records or executed agreements.

The successor retains the accepted business model's 75 contract sources and three scenarios. `source/commercial.json` supplies additional events; it never rewrites baseline contract values. Annual subscriptions remain prepaid billed terms, recognized monthly when service occurs. Deployment fees remain separate accepted work. Atlas licenses remain product revenue, with its outcome delivery capacity reserved separately from its commercial service pool.

Pipeline, capacity and service

Every eligible contract produces dated pipeline evidence until activation. The default synthetic outcome is won on its original start date. Explicit overrides exercise lost opportunities, permanently held opportunities, and decisions delayed beyond the planned start. A won opportunity still needs the scenario's acceptance delay and available deployment capacity; neither a planned start nor a customer decision bypasses capacity.

Each product unit dedicates 20% of its workforce-derived delivery capacity to one shared monthly service pool. Opening customers reserve routine support first, incident work consumes the remainder next, and deployments use what remains. Newly activated customers also reserve their current month's support. Individual support tickets, incident movements and deployment acceptance records support the capacity rollforward. No hour in this pool is allocated twice. Opening customer support reservations include that month's renewal/exit administration; they may therefore remain for a customer whose service ends during the month. Routine unmet monthly demand is reported as backlog for that service month; incident remediation hours carry forward until resolved.

Incident demand is an explicit source assumption. Failure to finish that month's incident demand records a service breach, creates a single earned-service credit, and enters the contract's renewal review. A breach in the preceding 12 months causes modeled nonrenewal at the configured threshold. Resolving the incident does not erase the original breach. Increasing service capacity can avoid the breach, its credit and the later customer loss. The original scenario churn rule remains as a separately identified renewal cause.

These are monthly planning mechanics, not a claim that support hours establish production uptime or a particular contractual SLA. The model grants no live customer entitlement and does not choose a deployment/runtime architecture.

Versions, amendments and customer credits

Activation, renewal, expansion, price amendments, contraction and cancellation create immutable version rows. Each retains its applied month, original effective month and synthetic approval identifier. A change that becomes due before delayed activation is held and retried; it is applied once after actual activation. A change for a lost or closed customer receives an explicit nonapplicable disposition. Delays do not silently erase amendments.

Positive changes bill the additional monthly rate for the unexpired part of the existing annual term. Contractions credit the unearned portion of the same term. Cancellation credits the entire unearned balance, ends recurring revenue, and prevents future service recognition. Amendments change seats and actual monthly recognized revenue as well as the reported ARR. Annual renewal escalation applies to the effective rate, including earlier changes.

Each billed invoice retains an unearned claim. Recognition consumes claims in order; reductions consume remaining claims from newest to oldest. Earned-service credits use earned invoice capacity and cannot consume the unearned balance. The credit module applies credits to open AR, surviving written-off claims, and only then refundable collected cash. Commercial code does not bypass those collection, credit or refund controls.

Reconciliations and review tables

Table	Purpose
commercial_pipeline	Customer decision, planned activation and capacity/acceptance holds
contract_versions	Effective rate, seats, term and approval history
commercial_changes	Applied, held or nonapplicable amendment disposition
commercial_service_tickets	Monthly routine support demand and service
service_incidents	Incident demand, work performed, open hours and preserved breach
commercial_renewals	Renewal decision and service/scenario cause
commercial_capacity	Shared capacity, support, incident, deployment and unused hours

Table	Purpose
commercial_metrics	Active customers, concentration, ARR and support backlog
commercial_arr_bridge	Opening + new + expansion + price – contraction – churn = closing ARR
commercial_deferred_rollforward	Opening + billings – unearned credits – recognition = closing deferred revenue

All scenarios cover every month. Every baseline contract has a deferred rollforward, including zero balances before activation and after closure. These balances reconcile to invoice claims and the product unit's general ledger. Earned-service credits reduce revenue through credit-note journals; they do not reduce gross contractual ARR or deferred revenue a second time.

Validation independently checks complete, unique monthly populations, continuous opening/closing balances, aggregate ARR, deferred balances against month-end books, capacity allocation, approval timing and nonnegative balances. Tests also exercise changes in capacity, lost opportunities, delayed amendments, actual invoices and journal consequences, cancellation, and deliberately corrupted exported bridges.